

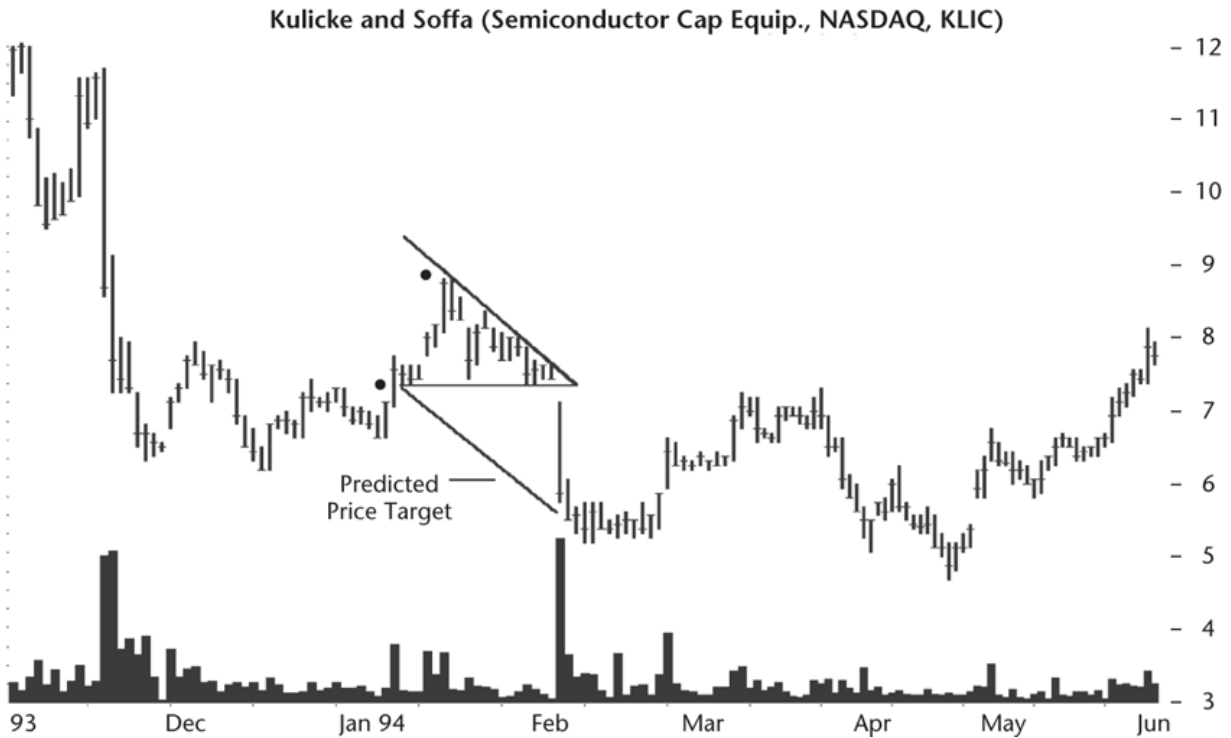


Figure 65.5 The measure rule: Take the difference between the two trendlines at the triangle's start (denoted by the black dots) and subtract the result from the value of the lower trendline, or draw a line parallel to the down-sloping trendline beginning at the lower-left corner. The value of the line on the day when price breaks out downward becomes the target price.

An alternative approach, which eliminates the cumbersome math, is to draw a line parallel to the down-sloping trendline starting at the lower-left corner of the triangle (like that shown). The value of the line on the date where price breaks out of the triangle becomes the target price.

The lower portion of the table shows how often the calculated measure rule works. For our example, we're seeing the pattern in a bull market with a downward breakout using the full height. The table says price will reach the target 50% of the time. If you were to cut the height in half and subtract it from the breakout price, then the success rate climbs to 74%.

The discussion of [Table 65.3](#) gives an example of how you can change the distance to the target into a percentage of the current price. Then use the table to discover how often price will fail to move that far.

Wait for breakout. Waiting for a breakout to occur is paramount since the breakout direction is unknown ahead of time. If you do not wait for a